IB Economics - Topic 2.12: Teacher and AI Grading Guide

The Market’s Inability to Achieve Equity | Questions 1-15

Scope and assessment status

Each original paired question has (a) 10 marks and (b) 15 marks. All 50 questions assess HL-only content. Difficulty: 3 Easy, 8 Medium, 4 Hard pairs, distributed through the bank. Level and difficulty are independent.

Current IB Topic 2.12 is HL only: the workings of a free market economy can result in unequal distribution of income and wealth; required diagram is the circular-flow model to illustrate why. No Gini calculation, Lorenz curve or redistribution-policy theory is listed in this topic.

Uploaded older IB textbook discusses market-distributed incomes and equity in several chapters. Its later detailed inequality and policy content is outside the current narrow Topic 2.12 requirement.

These are original adapted Paper 1-style practice questions, not official IB examination or marking material. The question bank revisits syllabus mechanisms through distinct explanatory and evaluative tasks; the pairs are alternatives for practice, not separate official learning outcomes.

The current Topic 2.12 syllabus specifies only the market-driven inequality of income and wealth and a circular-flow illustration. Fifteen distinct pairs address its defensible analytical angles; 50 would repeat those same mechanisms or import later macroeconomic inequality policies and measures.

Coverage blueprint

Factor payments and ownership: 1-5

Income versus wealth and accumulation: 6-8

Unequal endowments and household variation: 9-10

Circular flow and changing factor payments: 11-12

Assets, mobility and equity judgment: 13-15

Marking principles

Use best-fit assessment for each part, not a fixed marks-per-keyword checklist. Credit accurate alternatives addressing the task. Do not require every example or qualification below.

Part (a): 10 marks

Practice bands: 0; 1-2 limited; 3-4 mainly descriptive; 5-6 partial explanation; 7-8 clear and accurate causal analysis; 9-10 fully developed explanation with any required diagram or calculation. These abbreviated bands are not official IB descriptors.

Part (b): 15 marks

Practice bands: 0; 1-3 very limited; 4-6 superficial; 7-9 developed but weakly balanced; 10-12 balanced analysis and evaluation; 13-15 sustained, applied evaluation and supported judgment. A named case alone is not developed application.

Diagram and AI grading

Circular flow should show households owning/supplying factors to firms and receiving factor payments; firms sell output and households pay for it. Clearly explain how uneven factor ownership and/or payment rates create unequal household income; wealth is a separate stock. Do not require later-topic Lorenz/Gini diagrams.

Record separate marks for (a) and (b), band evidence, diagram or numerical features if relevant, economic misconceptions, quality of real-world application, and one actionable improvement per part. If a student drawing is unclear, flag the uncertainty rather than assuming correctness.

Question 1

Easy | HL | 25 marks

Topic 2.12: Factor ownership

(a) [10] Using a circular-flow diagram, explain how unequal ownership of factors of production can generate unequal household income.

(b) [15] Using real-world examples, discuss whether free-market earnings necessarily reflect differences in work effort.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Households receive wages, rent, interest and profit according to factor ownership and payments.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes factor ownership from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Households receive wages, rent, interest and profit according to factor ownership and payments.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 2

Medium | HL | 25 marks

Topic 2.12: Wages

(a) [10] Explain how differences in wage income can contribute to income inequality in a market economy.

(b) [15] Using real-world examples, evaluate whether wages alone explain the distribution of household income.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Workers sell labour and earn different wages/hours; other factor incomes also matter.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes wages from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Workers sell labour and earn different wages/hours; other factor incomes also matter.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 3

Hard | HL | 25 marks

Topic 2.12: Capital income

(a) [10] Using a circular-flow diagram, explain how ownership of capital can give some households income not earned from labour.

(b) [15] Using real-world examples, discuss whether unequal wealth always leads to unequal current income.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Capital owners receive interest/profits; return depends on assets and market conditions.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes capital income from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Capital owners receive interest/profits; return depends on assets and market conditions.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 4

Medium | HL | 25 marks

Topic 2.12: Land income

(a) [10] Explain how unequal ownership of land can produce unequal income within the circular flow.

(b) [15] Using real-world examples, evaluate whether land ownership is the most important cause of market income inequality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Rental payments accrue to owners, but wages/capital income can dominate.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes land income from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Rental payments accrue to owners, but wages/capital income can dominate.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 5

Medium | HL | 25 marks

Topic 2.12: Profit income

(a) [10] Explain why profits paid to business owners can increase household income inequality.

(b) [15] Using real-world examples, discuss whether all entrepreneurs receive high market incomes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Risk and ownership can yield unequal profits; some firms lose money.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes profit income from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Risk and ownership can yield unequal profits; some firms lose money.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 6

Easy | HL | 25 marks

Topic 2.12: Income versus wealth

(a) [10] Explain the difference between income as a flow and wealth as a stock.

(b) [15] Using real-world examples, evaluate whether two households with the same current income necessarily have similar wealth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Income earned per period differs from accumulated net assets.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes income versus wealth from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Income earned per period differs from accumulated net assets.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 7

Hard | HL | 25 marks

Topic 2.12: Accumulation

(a) [10] Explain how income from existing wealth can contribute to further wealth inequality.

(b) [15] Using real-world examples, discuss whether wealth inequality necessarily increases every year in a free market.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Asset ownership yields returns that may be saved and reinvested; losses and spending can offset.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes accumulation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Asset ownership yields returns that may be saved and reinvested; losses and spending can offset.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 8

Medium | HL | 25 marks

Topic 2.12: Inheritance

(a) [10] Explain how inherited assets can affect the market income a household receives.

(b) [15] Using real-world examples, evaluate whether inherited wealth is sufficient to explain all market income differences.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Inherited property/capital can generate rent, interest or profit independent of current work effort.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes inheritance from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Inherited property/capital can generate rent, interest or profit independent of current work effort.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 9

Hard | HL | 25 marks

Topic 2.12: Unequal endowments

(a) [10] Explain why households with different quantities of labour and capital may receive different shares of national income.

(b) [15] Using real-world examples, discuss whether equal access to a market implies equal economic outcomes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Factor endowments and market payments vary, even with identical formal trading rules.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes unequal endowments from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Factor endowments and market payments vary, even with identical formal trading rules.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 10

Medium | HL | 25 marks

Topic 2.12: Household variation

(a) [10] Explain how two households with equal wage rates may have different total market incomes.

(b) [15] Using real-world examples, evaluate whether comparing wage rates alone measures income inequality accurately.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Hours worked, number of earners and property income differ.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes household variation from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Hours worked, number of earners and property income differ.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 11

Easy | HL | 25 marks

Topic 2.12: Circular flow

(a) [10] Using a circular-flow diagram, explain how payments from firms to households can be distributed unequally.

(b) [15] Using real-world examples, discuss whether the circular-flow model alone predicts the degree of inequality.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Factor payments flow to owners; diagram shows channels but not payment magnitudes.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes circular flow from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Factor payments flow to owners; diagram shows channels but not payment magnitudes.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 12

Medium | HL | 25 marks

Topic 2.12: Prices of factors

(a) [10] Explain how changes in the market price of a factor of production can change the distribution of income.

(b) [15] Using real-world examples, evaluate whether all households benefit equally from economic growth.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Higher wages or returns benefit owners of relevant factor unequally.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes prices of factors from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Higher wages or returns benefit owners of relevant factor unequally.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 13

Hard | HL | 25 marks

Topic 2.12: Wealth composition

(a) [10] Explain how different types of wealth can yield different market incomes for households.

(b) [15] Using real-world examples, discuss whether the value of assets is a complete measure of a household's economic well-being.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Property, pension and financial assets provide different potential returns and liquidity.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes wealth composition from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Property, pension and financial assets provide different potential returns and liquidity.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 14

Medium | HL | 25 marks

Topic 2.12: Mobility

(a) [10] Explain why changes in employment or asset ownership can alter a household's position in the income distribution.

(b) [15] Using real-world examples, evaluate whether a snapshot of inequality tells the whole story of household opportunities.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Market income changes as labour payments and ownership evolve over time.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes mobility from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Market income changes as labour payments and ownership evolve over time.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Question 15

Medium | HL | 25 marks

Topic 2.12: Equity judgement

(a) [10] Explain why a competitive market can allocate resources while generating an unequal distribution of income and wealth.

(b) [15] Using real-world examples, discuss whether unequal market outcomes necessarily imply unfair outcomes.

Part (a) - Indicative answer and marking guidance

Essential concepts. Market income flows to households as wages for labour, rent for land, interest for capital and profit for enterprise; wealth is a stock of net assets, income is a flow per period. Unequal factor ownership and rewards can generate unequal income and wealth.

Required reasoning. Prices coordinate production and pay factors; allocative mechanism does not choose a fairness rule.

Expected diagram or calculation. When requested draw households supplying factors to firms and firms paying factor income to households; distinguish factor payments from consumer spending and mark unequal ownership/income channels. No Gini or Lorenz curve required.

Common misconceptions. Do not equate income with wealth, treat all factor payments as wages, or infer that market clearing proves a fair distribution. For this question, check specifically that the student distinguishes equity judgement from nearby concepts and does not reverse the stated causal relationship.

Acceptable alternatives. Credit any other accurate economic argument, diagram or real-world example that directly addresses the specific question. Do not require a single policy conclusion or named case.

Part (b) - Indicative answer and marking guidance

Main argument. Prices coordinate production and pay factors; allocative mechanism does not choose a fairness rule.

Counterargument and conditions. The size and direction of inequality depend on other income sources, asset returns, employment, household composition and period; an observed difference alone does not establish fairness.

Application and real-world example. ONS UK household original-income statistics and Great Britain household wealth estimates supply separate contextual measures; wealth survey quality caveat applies.

Evaluation and judgment. A strong response applies the example to the stated mechanism, weighs the qualification against the main argument, and reaches a conditional conclusion. Its conclusion may differ from the suggested route if the economics and case are sound.

Sources and scope

The current IB Economics guide controls syllabus boundaries. The uploaded Economics for the IB Diploma, second edition (2012), is a supplementary conceptual check; its older chapter sequence and content cannot expand the current specification. Real-world examples are optional and should be checked against their cited sources.

G. IB Economics guide, first assessment 2022, Topic 2.12, printed p. 33.

Open source

A. UK ONS, household income inequality FYE 2024, reporting original income and other measures.

Open source

B. UK ONS, household total wealth in Great Britain April 2020-March 2022. Accreditation of detailed survey estimates was suspended in 2025 due to quality concerns; use broad context cautiously.

Open source

Final checks

15 paired questions; 3 Easy, 8 Medium, 4 Hard; all HL The student paper contains no answers or difficulty labels.